

Retail Equity Research

# ICICI Bank

NOT RATED

Sector: Banking

October 18, 2025

| Key Changes | Target <span></span> |        | Rating <span></span> |          | Earnings <span></span> |
|-------------|----------------------|--------|----------------------|----------|------------------------|
| Stock Type  | Bloomberg Code       | Sensex | NSE Code             | BSE Code | Time Frame             |
| Bank        | —                    | —      | —                    | —        | 12 Months              |

|        |   |
|--------|---|
| Target | — |
| CMP    | — |
| Return | — |

Data as of: —

| Company Data              |   |
|---------------------------|---|
| Market Cap (Rs.cr)        | — |
| 52 Week High — Low (Rs.)  | — |
| Enterprise Value (Rs. cr) | — |
| Outstanding Shares (cr)   | — |
| Free Float (%)            | — |
| Dividend Yield (%)        | — |
| 6m average volume (cr)    | — |
| Beta                      | — |
| Face value (Rs. )         | — |

## Q2-2026: Profit After Tax grew 5.2% YoY, asset quality improved

ICICI Bank Limited is an Indian multinational bank and financial services company. It offers a wide range of banking products and financial services for corporate and retail customers through a variety of delivery channels and through its specialized subsidiaries in the areas of investment banking, life and non-life insurance, venture capital and asset management.

- Profit before tax excluding treasury grew by 9.1% YoY to Rs. 161.64 bn in Q2-2026.
- Core operating profit grew by 6.5% YoY to Rs. 170.78 bn in Q2-2026.
- Profit after tax grew by 5.2% YoY to Rs. 123.59 bn in Q2-2026.
- Domestic loans grew by 10.6% YoY and 3.3% QoQ.
- Net NPA ratio improved to 0.39% at Sep 30, 2025 from 0.41% at Jun 30, 2025.
- Provisions decreased by 25.9% YoY to Rs. 9.14 bn in Q2-2026.

## Outlook & Valuation

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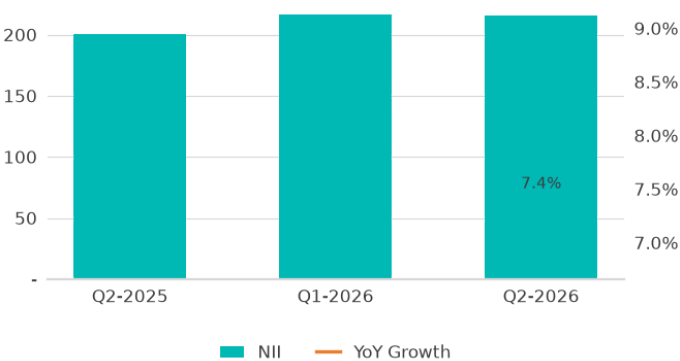
## Quarterly Financials Consolidated

| Rs. bn                               | Q2-2025 | Q1-2026 | Q2-2026 | QoQ (%) | YoY (%) |
|--------------------------------------|---------|---------|---------|---------|---------|
| Net interest income                  | 200.48  | 216.35  | 215.29  | -0.5    | 7.4     |
| Non-interest income                  | 64.96   | 72.64   | 73.56   | 1.3     | 13.2    |
| - Fee income                         | 58.94   | 59.00   | 64.91   | 10.0    | 10.1    |
| - Dividend income from subsidiaries  | 5.41    | 13.36   | 8.10    | -39.4   | 49.7    |
| - Others                             | 0.61    | 0.28    | 0.55    | 96.4    | -9.8    |
| Core operating income                | 265.44  | 288.99  | 288.85  | -0.0    | 8.8     |
| Operating expenses                   | 105.01  | 113.94  | 118.07  | 3.6     | 12.4    |
| - Employee expenses                  | 41.36   | 47.43   | 43.42   | -8.4    | 5.0     |
| - Non-employee expenses              | 63.65   | 66.51   | 74.65   | 12.2    | 17.3    |
| Core operating profit                | 160.43  | 175.05  | 170.78  | -2.5    | 6.5     |
| Provisions                           | 12.33   | 18.15   | 9.14    | -49.6   | -25.9   |
| Profit before tax excluding treasury | 148.10  | 156.90  | 161.64  | 3.0     | 9.1     |
| Treasury income                      | 6.80    | 12.41   | 2.20    | -82.3   | -67.6   |
| Profit before tax                    | 154.90  | 169.31  | 163.84  | -3.2    | 5.8     |
| Tax                                  | 37.44   | 41.63   | 40.25   | -3.3    | 7.5     |
| Profit after tax                     | 117.46  | 127.68  | 123.59  | -3.2    | 5.2     |
| No. of shares (cr)                   | 177.4   | 178.3   | 178.6   | —       | —       |
| Adj EPS (Rs.)                        | 66.2    | 71.6    | 69.2    | -3.4    | 4.5     |

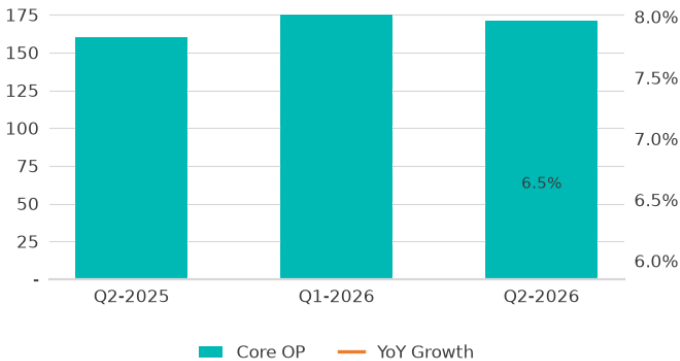
Key highlights

- **Earnings Growth:** ICICI Bank reported a 5.2% YoY growth in Profit After Tax (PAT) to Rs. 123.59 billion for Q2-2026, driven by a 6.5% increase in core operating profit and a significant reduction in provisions.
- **Strong Core Operating Performance:** Core operating profit rose to Rs. 170.78 billion, reflecting healthy underlying business momentum. Net interest income grew by 7.4% YoY, while non-interest income saw a 13.2% YoY increase, primarily due to a 10.1% rise in fee income.
- **Improved Asset Quality:** The bank continued to demonstrate strong asset quality, with the net NPA ratio improving to 0.39% at September 30, 2025, from 0.41% at June 30, 2025. Gross NPAs also declined to 1.58% from 1.67% sequentially.
- **Reduced Provisions:** Provisions significantly decreased by 25.9% YoY to Rs. 9.14 billion in Q2-2026, indicating better credit health and lower anticipated credit losses.
- **Robust Loan Growth:** Domestic loans expanded by 10.6% YoY and 3.3% QoQ, with business banking portfolio showing strong growth of 24.8% YoY. Retail loans grew by 6.6% YoY, maintaining a diversified loan book.
- **Deposit Mobilization:** Total deposits grew by 7.7% YoY and 0.3% QoQ, reaching Rs. 16,128.25 billion. Average deposits increased by 9.1% YoY, with CASA deposits growing by 9.7% YoY, reflecting a stable funding base.

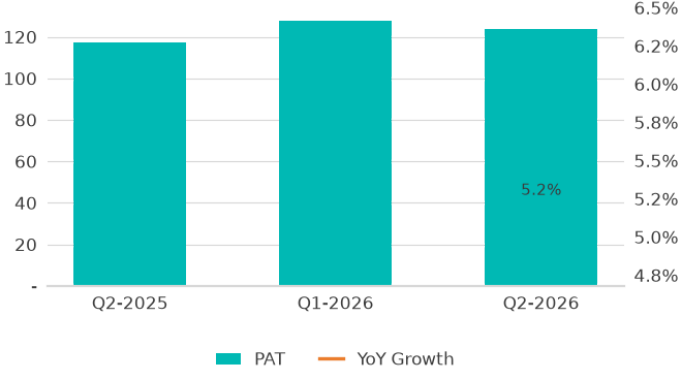
Net Interest Income



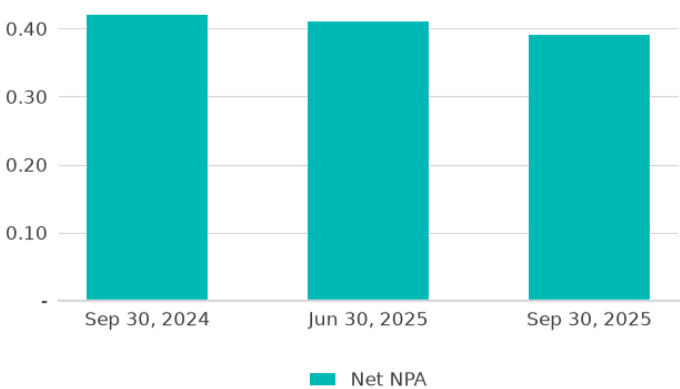
Core Operating Profit



Profit After Tax



Net NPA Ratio



Consolidated Financials

Profit & Loss

| Rs. bn                               | FY2025   |
|--------------------------------------|----------|
| Net interest income                  | 811.65   |
| Non-interest income                  | 266.03   |
| - Fee income                         | 238.70   |
| - Dividend income from subsidiaries  | 26.19    |
| - Others                             | 1.14     |
| Core operating income                | 1,077.68 |
| Operating expenses                   | 423.72   |
| - Employee expenses                  | 165.41   |
| - Non-employee expenses              | 258.31   |
| Core operating profit                | 653.96   |
| Provisions                           | 46.83    |
| Profit before tax excluding treasury | 607.13   |
| Treasury income                      | 19.03    |
| Profit before tax                    | 626.16   |
| Tax                                  | 153.89   |
| Profit after tax                     | 472.27   |
| No. of shares (cr)                   | 704.9    |
| Adj EPS (Rs.)                        | 67.0     |

Cashflow

Not disclosed in the source document.

Balance Sheet

| Rs. bn               | Sep 30, 2024 | Jun 30, 2025 | Sep 30, 2025 |
|----------------------|--------------|--------------|--------------|
| Cash                 | 1,367.99     | 1,645.98     | 1,366.81     |
| Investments          | 4,790.98     | 5,077.07     | 4,995.92     |
| Advances             | 12,772.40    | 13,641.57    | 14,084.56    |
| Fixed & other assets | 837.21       | 873.77       | 915.42       |
| Total Assets         | 19,768.58    | 21,238.39    | 21,362.71    |
| Current Liabilities  | -            | -            | -            |
| Provisions           | -            | -            | -            |
| Debt Funds           | 1,244.93     | 1,170.95     | 1,118.18     |
| Other Liabilities    | 950.64       | 919.06       | 1,001.86     |
| Equity Capital       | 14.09        | 14.27        | 14.29        |
| Res. & Surplus       | 2,581.31     | 3,048.94     | 3,100.13     |
| Shareholder Funds    | 2,595.40     | 3,063.21     | 3,114.42     |
| Deposits             | 14,977.61    | 16,085.17    | 16,128.25    |
| Total Liabilities    | 19,768.58    | 21,238.39    | 21,362.71    |
| BVPS                 | 368.3        | 429.3        | 436.0        |

Ratios

| Percent                                | FY2025 | Q2-2025 | Q1-2026 | Q2-2026 |
|----------------------------------------|--------|---------|---------|---------|
| Profitab. & Return                     |        |         |         |         |
| Net interest margin                    | 4.32   | 4.27    | 4.34    | 4.30    |
| Cost-to-income                         | 38.6   | 38.6    | 37.8    | 40.6    |
| Return on average assets               | 2.40   | 2.39    | 2.44    | 2.33    |
| Standalone return on equity            | 17.9   | 18.1    | 17.1    | 16.0    |
| Yield on total interest-earning assets | 8.69   | 8.63    | 8.61    | 8.34    |
| Yield on advances                      | 9.76   | 9.73    | 9.53    | 9.29    |
| Cost of funds                          | 5.10   | 5.09    | 5.02    | 4.78    |
| Cost of deposits                       | 4.91   | 4.88    | 4.85    | 4.64    |
| Provisions/core operating profit       | 7.2    | 7.7     | 10.4    | 5.4     |
| Provisions/average advances            | 0.36   | 0.38    | 0.53    | 0.26    |
| Valuation                              |        |         |         |         |
| P/BV (x)                               | 410.1  | 368.3   | 429.3   | 436.0   |

Recommendation Summary – (last 3 years)

|                             |                                 |        |        |
|-----------------------------|---------------------------------|--------|--------|
| No price history available. | Dates                           | Rating | Target |
|                             | No prior recommendation history |        |        |

Investment Rating Criteria

| Ratings           | Large caps               | Midcaps                   | Small Caps                |
|-------------------|--------------------------|---------------------------|---------------------------|
| Buy               | Upside is above 10%      | Upside is above 15%       | Upside is above 20%       |
| Accumulate        | -                        | Upside is between 10%-15% | Upside is between 10%-20% |
| Hold              | Upside is between 0%-10% | Upside is between 0%-10%  | Upside is between 0%-10%  |
| Reduce/Sell       | Downside is more than 0% | Downside is more than 0%  | Downside is more than 0%  |
| Not rated/Neutral | -                        | -                         | -                         |

**Definitions:** Buy: Acquire at the current market price (CMP), with the target mentioned in the note. Accumulate: Partial buying, or accumulate as the CMP dips in future. Hold: Hold the stock with the expected target mentioned in the note. Reduce: Reduce exposure to the stock due to limited upside. Sell: Exit the stock. Not rated/Neutral: The analyst has no investment opinion on the stock.

**Symbols:**  Upgrade     No Change     Downgrade

Recommendations are based on a 12-month horizon unless otherwise specified. Investment ratings are on an absolute positive/negative return basis. Because of volatility in the near to medium term, there could be a temporary mismatch to a rating; for reasons of valuation, return or lack of clarity we may revisit the rating at an appropriate time. A stock always carries the risk of being upgraded or downgraded.

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